

Professorship of Corporate Law
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Business Law

Agency

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Agency

(1) Revision questions

(2) Agency

Case 1a)	Requirements of effective agency (§§ 164 et seqq BGB) Esp. Principle of publicity
Case 1b)	Liability of an unauthorized agent (§ 179 I BGB)
Case 2	Agency on both sides of the contract Store power of attorney (§ 56 HGB)
Case 3	Representation of the company (§ 35 GmbHG) Pending invalidity (§ 177 I BGB)

What are the requirements for effective agency?

= Agency is a legal institute that allows one person (**agent**) to act on behalf of another person (**principal**) and therefore create legal relationships between the principal and a third party.

Regulation in § 164 I 1 BGB:

- Own declaration of intent
- Principle of publicity
- Power of representation

§ 164 I 1 BGB

Effect of a declaration made by the agent

(1) ¹A **declaration of intent** which a person makes **within the scope of his own power of agency in the name of a principal** takes effect directly in favour of and against the principal.

What are the advantages and risks of agency?

Advantages and risks

Advantages	Risks
Division of labour	Losing direct control and information
Freeing capacity for other tasks	Need of Trust
Increasing the company's output	Different interests of principal and agent (Principal agent problem!)
Legal entities need agency	
Using experts with special knowledge	
No emotional involvement	

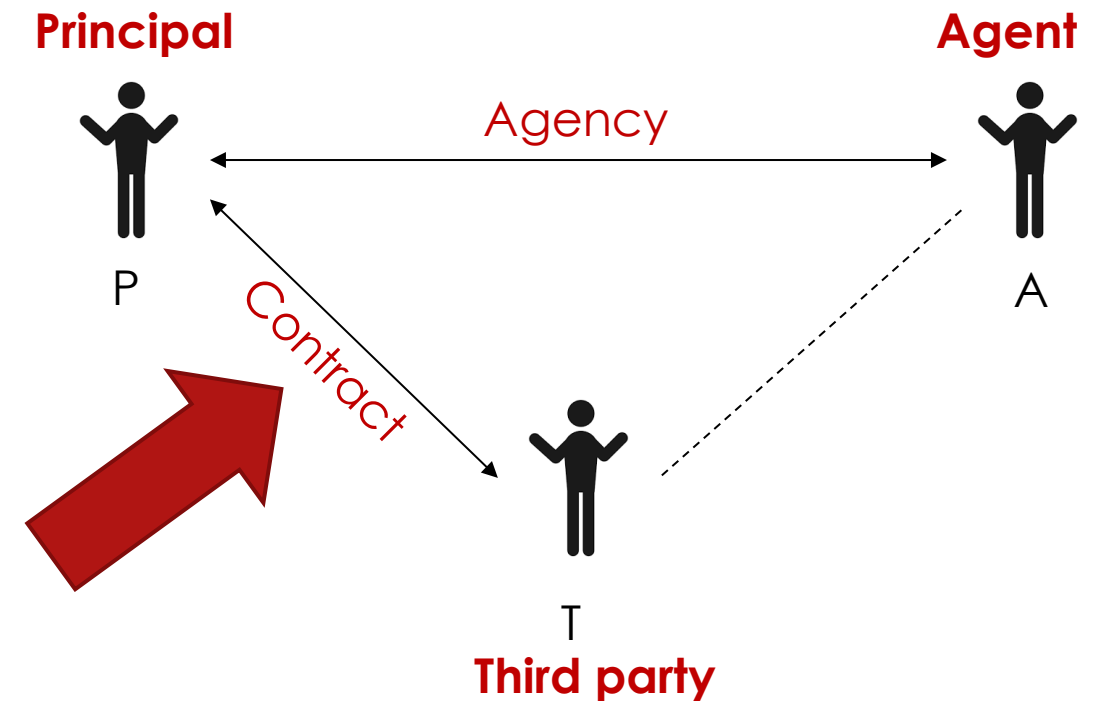
What is the main effect of agency?

Main effect

§ 164 I 1 BGB

Effect of a declaration made by the agent

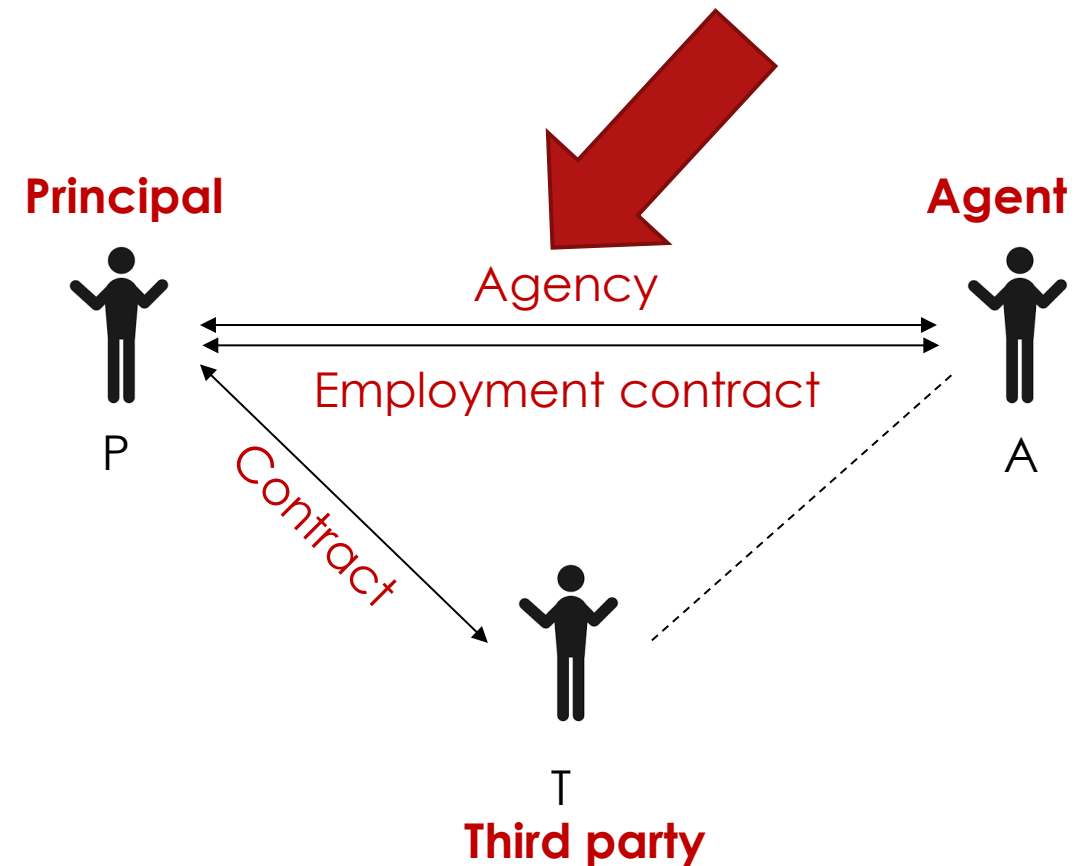
(1) ¹A declaration of intent which a person makes within the scope of his own power of agency in the name of a principal **takes effect directly in favour of and against the principal.**



Explain the relationships between principal and agent, principal and third party as well as agent and third party with effective agency.

Relationship between principal and agent

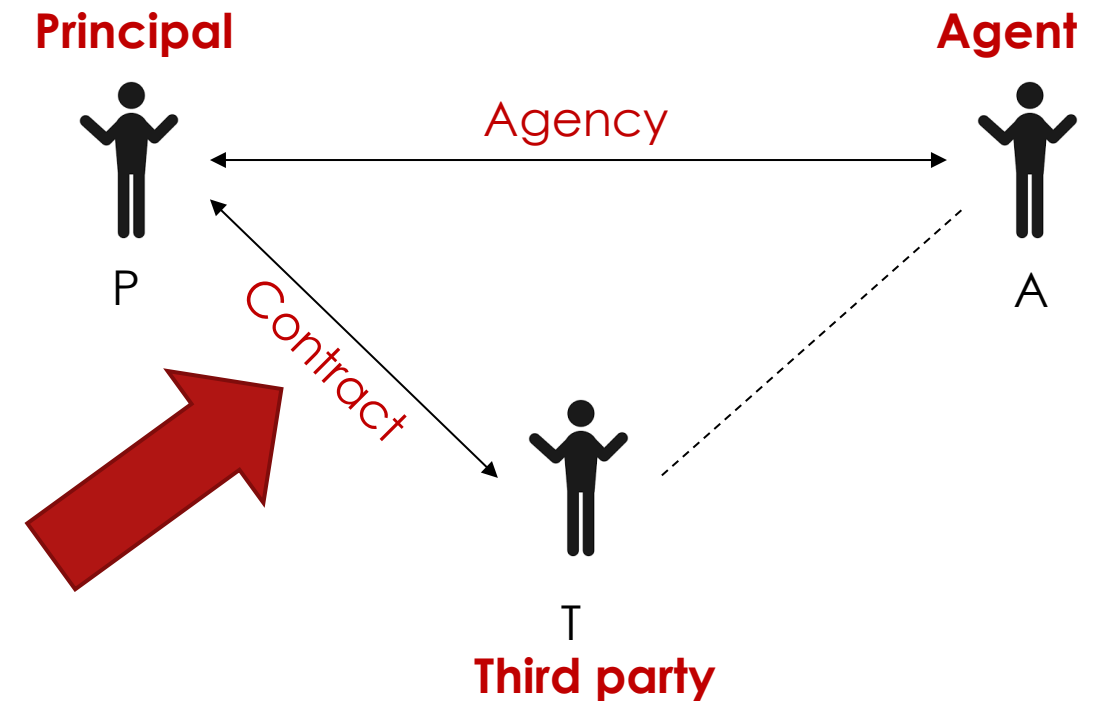
- Agent is authorized to act on behalf of the principal through agency
- Agent must respect the frame the principal set for him
- Regularly, principal and agent are associated by a legal relationship of their own.
- For example: Employment contract or other mandate



Explain the relationships between principal and agent, principal and third party as well as agent and third party with effective agency.

Relationship between principal and third party

- “The declaration of intent made by the agent has direct effect for and against the principal”
- The principal is directly - without the agent as a passing stage - entitled and obliged from the legal transaction

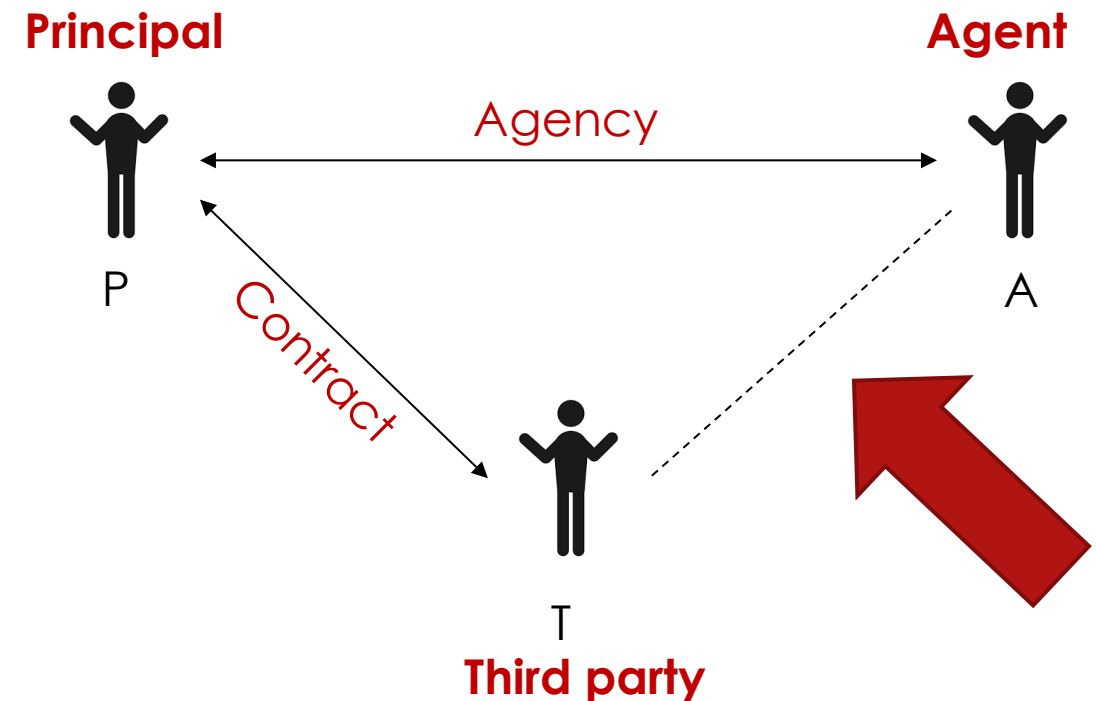


Explain the relationships between principal and agent, principal and third party as well as agent and third party with effective agency.

Relationship between agent and third party

- If all requirements of § 164 I 1 BGB are fulfilled:

Then – generally – there is **no** legal relationship between the agent and the third party



Case 1a) – Facts

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D and her friend (F) are on the way to Croatia for their summer vacation. Halfway there, the tank of D's car is empty. As D is exhausted from the long car journey, she gives F a 100€ banknote and asks if he can fill up the tank for her. This is no problem for F.

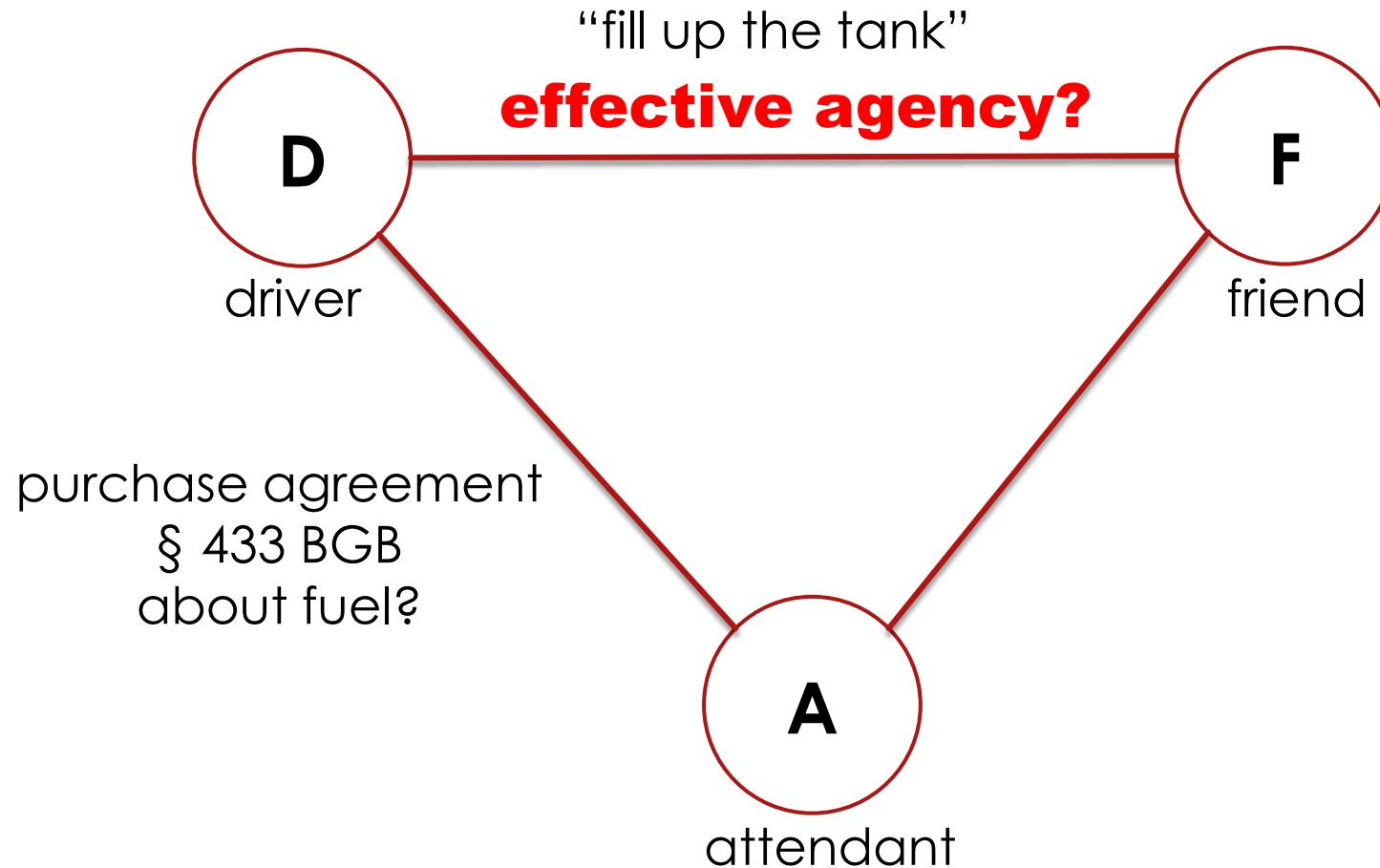
F fills up the tank at the filling station under observation of attendant A. Afterwards, F silently pays for the tank of fuel at A's cash register and goes back to the car.

Question:

Did F **effectively represent** D when he concluded the contract with A?

Case 1a) – Sketch

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Question:

Did F **effectively represent** D when he concluded the contract with A?

Case 1a) – Solution

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A. Effective agency

I. Own DoI by F ()

= „declaration of intent which a person makes” § 164 I 1 BGB

- F formed and expressed his own will to conclude a purchase agreement (§ 433 BGB) by filling the tank with the fuel at A's filling station

Not important if F made the offer or the acceptance, as long as he made a DoI in general.

II. Principle of publicity ()

= „in the name of a principal“ § 164 I 1 BGB

1. Explicitly ()

- F did not make it clear that he is acting on behalf of D

2. Implicitly ()

= “from the circumstances” § 164 I 2 BGB

- F filled up D’s car
- A was watching this action
- However A does not know who is buying the fuel

Explicitly:

The exact information
is said/written.



Implicitly:

The information can be taken
from the circumstances/actions



3. Exception to principle of publicity: Transactions for whom it concerns ()

= For immediately settled cash transactions in daily life the contract partner is irrelevant, because the contracting parties don't need to know each other necessarily

Pro Transaction for whom it concerns	Con Transaction for whom it concerns
F wants to pay for the tank immediately	A tank filling is expensive
A has many customers every day, who pay directly after filling up	Tank filling is difficult to reverse and it is a complicated ownership situation
For A it is basically irrelevant who buys the fuel	

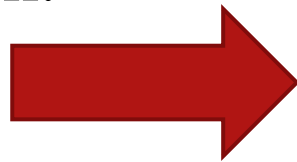
4. Interim result: Principle of publicity (+/-)

III. Result: Effective agency (+/-, if - →)

§ 164 II BGB

Effect of a declaration made by the agent

(2) If the intent to act on behalf of another is not evident, the lack of intent on the part of the agent to act on his own behalf is not taken into consideration.



- **“Principal” is not legally bound** by the declaration of intent made by the agent
- **“Agent” himself is bound**

Case 1b) – Facts

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Differently than in the initial case, F should bring only some snacks from the filling station. Therefore, D gives F a 20€ banknote.

As F is about to pay for the snacks, he sees the display for the current price of fuel and thinks: “This is an unbeatable low price that D shouldn’t miss”. F asks A to wait a moment so that he can refuel quickly in the name of his friend D.

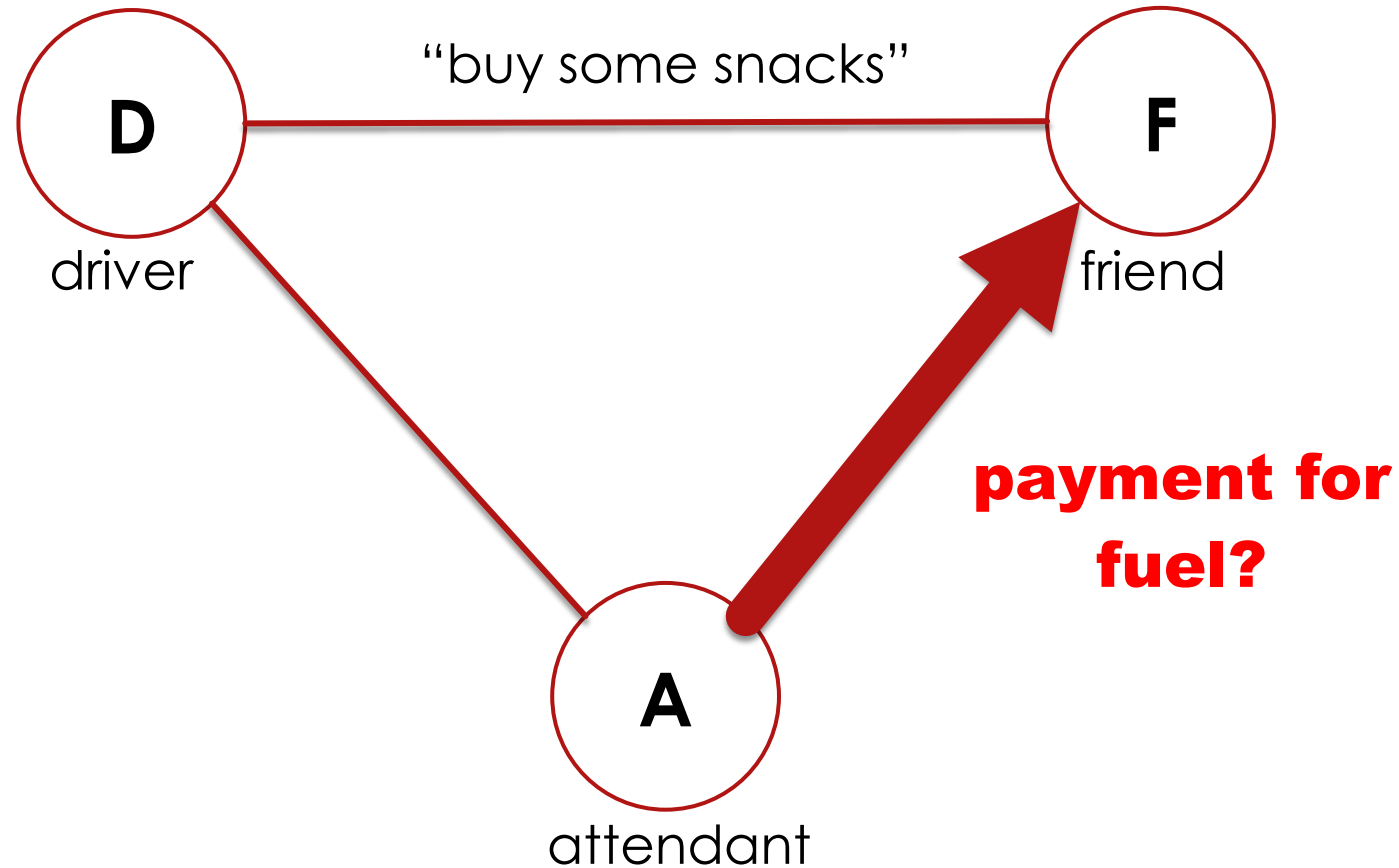
After refueling, F asks D for some more money to pay for the fuel. D is shocked. Behind the border the fuel would have been much cheaper. Under no circumstances does she want to pay for the expensive fuel. So A demands the purchase price from F, who is responsible for this mess.

Question: Can A demand the purchase price for the fuel **from F**?

Note: Price of fuel 1.80€/liter, value of fuel 1€/liter

Case 1b) – Sketch

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Question:

Can A demand the purchase price for the fuel **from F**?

Case 1b) – Solution

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A. Claim for payment of purchase price for fuel (§ 433 II BGB) ()

- F did not intend to conclude a contract with A
- Without purchase agreement A has no claim against F

B. Claim for performance (§ 179 I BGB) (?)

(performance = payment of purchase price § 433 II BGB)

§ 179 I BGB

Liability of an unauthorised agent

(1) A person who has entered into a contract as an agent is, if he does not furnish proof of his power of agency, obliged to the other party at the other party's choice either to perform the contract or to pay damages to him, if the principal refuses to ratify the contract.

I. Unauthorized agent § 179 I BGB

= All the requirements of an effective agency except for power of representation

1. Own DoI by F § 164 I 1 BGB ()

- F wanted to buy the fuel

2. Principle of publicity § 164 I 1 BGB ()

- F tells A that he wants to refuel the car in the name of his friend D

3. Without power of representation § 179 I BGB (.)

- D instructed F to buy some snacks, so he has power of representation for that
- However, F decided spontaneously without asking D to refuel her car
- F has exceeded the scope of his power of representation

4. Interim result: Unauthorized agent (.)

II. Principal refuses to ratify the contract (.)

- D is not interested in buying fuel for that price since she can get it much cheaper behind the border

III. Other party chooses performance or damages § 179 I BGB ()

- A wants F to pay the fuel (§ 433 II BGB)
- So he chooses performance

Performance → Price: 1.80€/liter
>
Damages → Value 1€/liter

IV. Effect § 179 I BGB

- F has to fulfill the contract as if he would be the contractual partner

V. Result: Claim for performance (§ 179 I BGB) ()
(performance = payment of purchase price § 433 II BGB)

Case 2 – Facts

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Student (S) wants to buy a new laptop. As he has to study for his Business Law class, he has no time to visit the local electronics store (E-oHG). To make matters worse, his internet connection has broken down. So he writes a letter to the store manager (M) in which he authorizes his girlfriend (G) to buy a notebook.

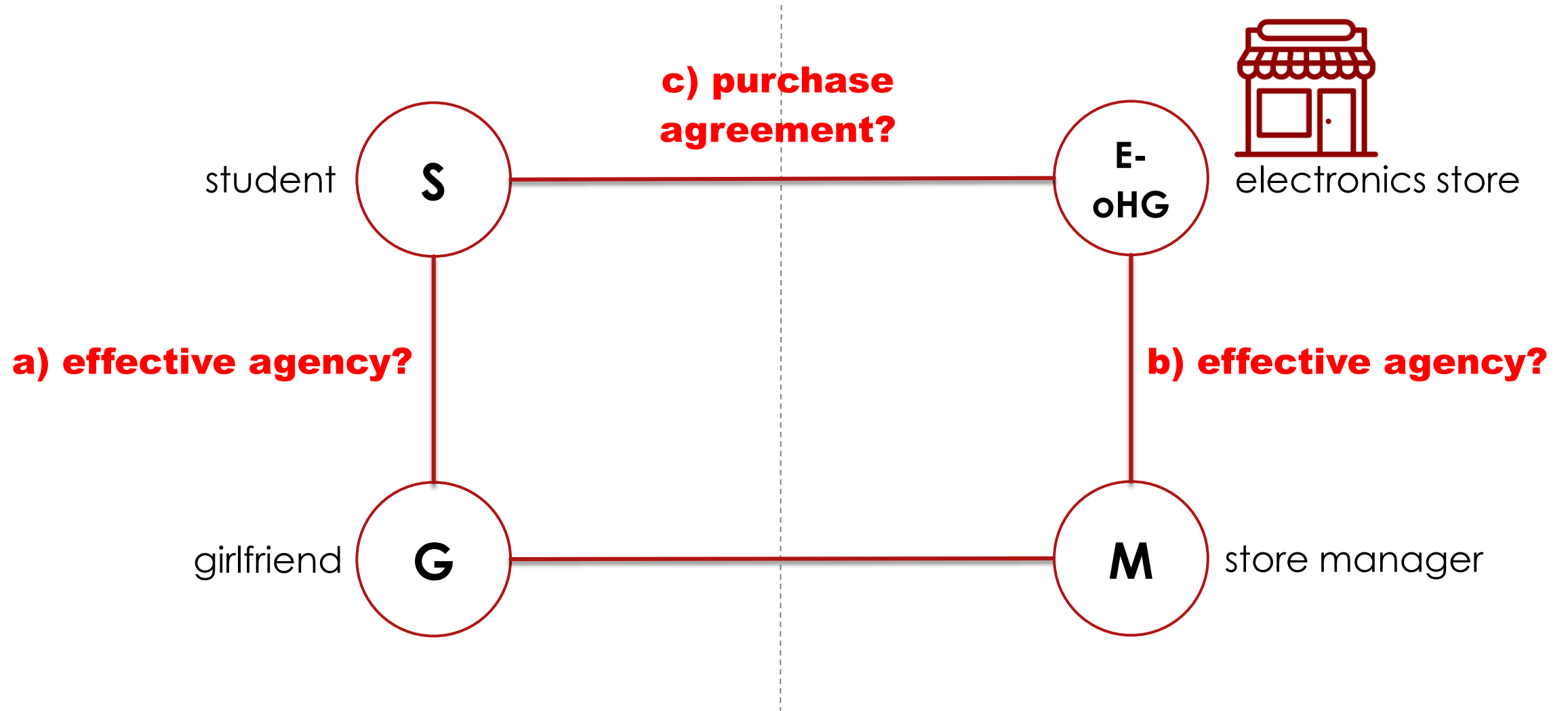
A few days later, G chooses a laptop to S's liking in the store and buys it with reference to the letter from S. M takes care of the payment process.

Questions:

- a) Did G effectively represent S?
- b) Did M effectively represent E-oHG?
- c) Did S and the E-oHG conclude a purchase agreement?

Case 2 – Sketch

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A. Effective representation of S by G

I. Own DoI by G § 164 I 1 BGB ()

- G chose a laptop and bought it

II. Principle of publicity § 164 I 1 BGB ()

- G buys it with reference to the letter from S

Not important if G made the offer or the acceptance, as long as she made a DoI in general.

If you want to solve it in detail:

*I. Displaying the laptop
- Invitatio ad offerendum*

*II. G taking the laptop
- Offer*

*III. M processing the payment
- Acceptance*

III. Power of representation § 164 I 1 BGB

1. Conferment of power of representation

a) To agent himself (internal authorisation) ()

- S told G to go to the store to buy a laptop for him

b) To third party (external authorisation) ()

- S wrote a letter to store manager M

2. Within scope of power of representation ()

- G chooses a laptop to S's liking

3. Interim result: Power of representation ()

IV. Result: Effective representation of S by G ()

A. Effective representation of E-oHG by M

I. Own DoI by M § 164 I 1 BGB ()

- M makes a DoI about selling the laptop

II. Principle of publicity § 164 I 1 BGB ()

- M is an employee who works for E-oHG as store manager
- This is recognizable at least by the circumstances for all customers (by function or action of M, maybe also by uniform or name plate)
- Also enterprise related transaction

If you want to solve it in detail:

I. Displaying the laptop
- *Invitatio ad offerendum*

II. G taking the laptop
- *Offer*

III. M processing the payment
- *Acceptance*

III. Power of representation § 164 I 1 BGB ()

Possible is store power of attorney § 56 HGB

- M was authorized as store manager of the electronics store to enter into a purchase agreement about the laptop

IV. Result: Effective representation of E-oHG by M ()

§ 56 HGB

A person employed in a shop or in a warehouse open to the public shall be deemed to have authority to handle any sales transactions or actions of acceptance customary in such a shop or warehouse.

Case 2c) – Solution

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A. Conclusion of purchase agreement (§ 433 BGB) between S and E-oHG

I. Two matching DoI, offer and acceptance §§ 145 et seqq BGB

1. Offer by S

a) Offer made by S himself ()

- S didn't go to the store or buy the laptop online

b) Offer made by G with effect for S (.)

- G acted as effective agent for S
- G made an offer by taking the laptop to M



Here question a) can
be incorporated

c) Interim result: Offer with effect for S ()

Case 2c) – Solution

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2. Acceptance by E-oHG

a) Acceptance made by E-oHG itself ()

- E is a oHG (= offene Handelsgesellschaft, = business partnership)
- As a legal entity E-oHG needs someone else to make DoIs

b) Acceptance made by M with effect for E-oHG ()

- M effectively represented E-oHG as the store manager
- M accepted the offer by processing the payment



Here question b) can be incorporated

c) Interim result: Acceptance with effect for E-oHG ()

3. Result: Two matching DoI, purchase agreement between S and E-oHG ()

Case 3 – Facts

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Adam (A) and Eve (E) are both directors of the Paradise-GmbH (P-GmbH). The business of the P-GmbH is to buy apples, process them and sell the finished products.

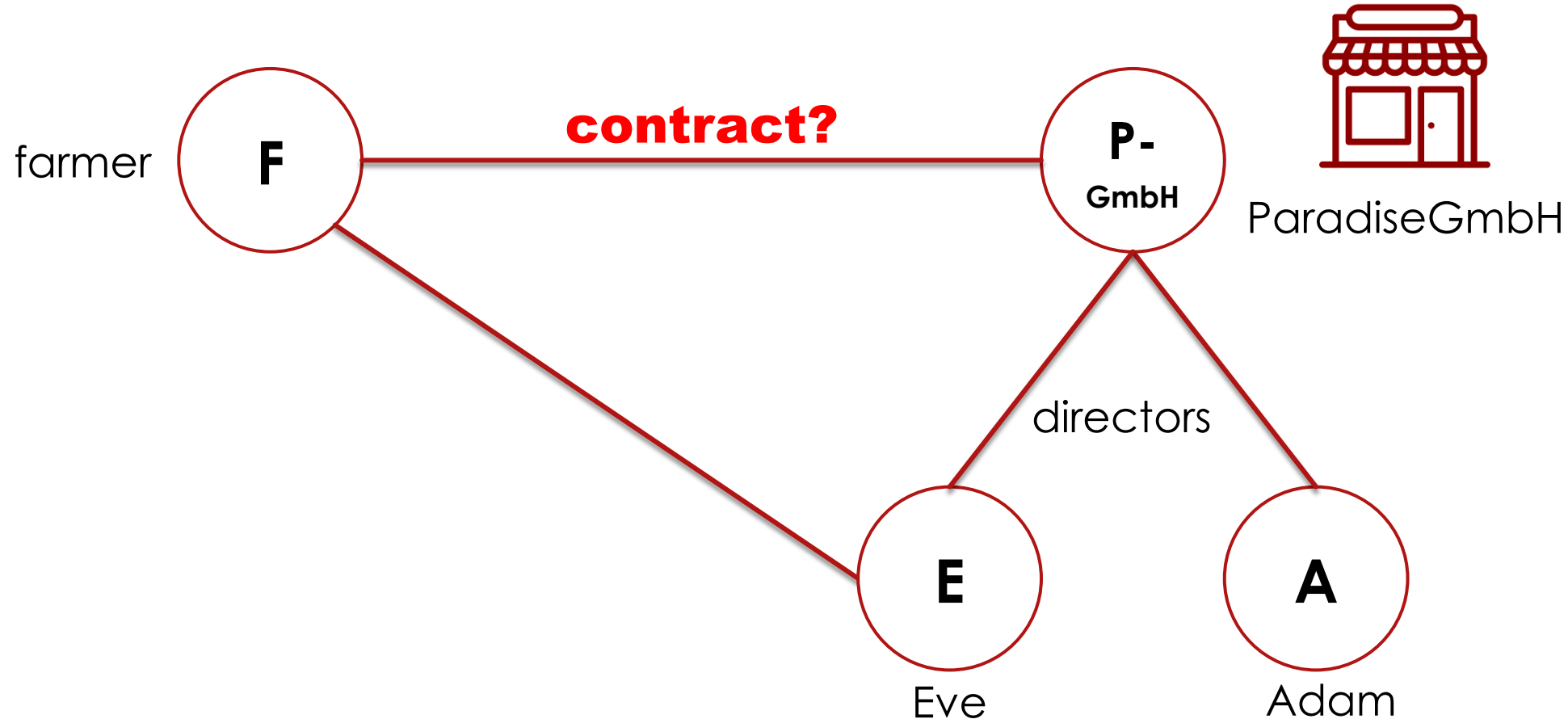
On December 1st, E orders on behalf of the P-GmbH a large amount of apples from farmer F. E plans to produce candied apples and sell them in the winter time. With this new business idea E hopes to make a lot of profit.

A few days later, F calls the P-GmbH's business number to demand payment for the apples delivered. A answers the phone and is surprised. He's not convinced of this new business idea. In addition, E and A have never agreed that either of them can act alone on behalf of the P-GmbH .

Question: Did F and the P-GmbH conclude a contract?

Case 3 – Sketch

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Question: Did F and the P-GmbH conclude a contract?

A. Contract conclusion between F and P-GmbH

Purchase agreement (§ 433 BGB)

I. Offer by P-GmbH (?)

1. Offer by P-GmbH itself ()

- P is a GmbH (= Gesellschaft mit beschränkter Haftung, = Limited liability company)
- P-GmbH cannot act itself, but only through its organs

2. Offer by E with effects for P-GmbH (?)

- E placed an order for apples from F
- E's DoI could be effective for P-GmbH, if P-GmbH is effectively represented by E (§§ 164 et seqq. BGB)

Introduction for
examination of
agency

a) Own DoI by E ()

- E decided herself to place the order

b) Principle of publicity ()

- The order was made in the name of P-GmbH

c) With power of representation (?)

- Possible is representation of the company § 35 GmbHG

§ 35 GmbHG

Representation of the company

(1) ¹The company shall be represented in and out of court by the directors. ²If a company has no director, the company shall be represented by the shareholders whenever declarations of intent are made or documents are served on it.

(2) ¹If several directors have been appointed, they shall only all be jointly authorized to represent the company, unless provided otherwise in the articles of association. (...)

(3) (...)

aa) In principle: Joint representation § 35 II 1 GmbHG ()

- Only E acts on behalf of P-GmbH without A's knowledge

**bb) Exception: Other regulation in articles of association
§ 35 II 1 GmbHG ()**

- E and A have never agreed that either of them can act alone on behalf of P-GmbH

cc) Interim result: Power of representation ()

d) Ratification by P § 177 I BGB ()

- Without power of representation, the DoI is pending invalid. Pending invalidity as a temporary condition can develop into full effectiveness or ineffectiveness of the transaction. The validity of the DoI depends on the ratification of the person represented.
- A is not convinced of E's new business idea and refuses approval

§ 177 BGB

Entry into contract by an unauthorised agent

(1) If a person enters into a contract in the name of another **without power of agency**, then the effectiveness of the contract to the benefit or detriment of the principal **requires the ratification of the principal**.

(2) (...)

e) Interim result:

- Effective agency (-)
- DoI by E with effect for P-GmbH (-)
- Offer by P-GmbH (-)

II. Result: Contract (-)

Thank you
for your attention!

